

1939 jointly by Standard Statistics Company and the Bond Portfolio Committee of the New York State Bankers Association. Their proposed ratios for various groupings (except municipals) are summarized in the appended Tables I and II, reproduced by permission from an article entitled "How to Test Your Bonds," by E. Sherman Adams, which appeared in the Dec. 4, 1939, issue of *Barron's*.

An adequate critique of these ratios would require too much space. It is obvious that we consider nearly all of them either unnecessary or excessively severe, since otherwise we should have revised our own suggestions accordingly. It should be pointed out that the yardsticks presented in these tables "are not offered as a standard below which banks never should go" but seem rather to represent something between "an additional working tool" and a counsel of perfection. In our view the multiplicity of the standards proposed detracts greatly from the practical utility of these yardsticks. If *all* these tests must be met, the field of eligible bond investment is narrowed almost intolerably. If some may be waived, the investor is left pretty much at sea as to which are most important and how much latitude he may safely allow himself.

The actual application of these yardsticks to typical bond portfolios of savings banks or insurance companies would constitute a useful exercise in security analysis and would also shed some light on the practical implications of the tests suggested. *Standard Corporation Records* now compiles these ratios on leading companies.

NOTE 23

Ratios of railroad maintenance expenditures to gross operating revenues for Class I railroads, based on the five-year period 1926–1930, inclusive, and for 1937, are as follows by geographical divisions:³

Region	1926–1930			1937		
	Maintenance of way, %	Maintenance of equipment, %	Total, %	Maintenance of way, %	Maintenance of equipment, %	Total, %
Entire United States	13.7	19.5	33.2	11.9	19.9	31.8
New England	15.3	17.8	33.1	13.7	17.6	31.3
Great Lakes	12.5	20.9	33.4	10.7	20.9	31.6
Central Eastern	12.5	20.7	33.2	10.4	21.0	31.4
Poahontas	13.4	20.0	33.4	10.2	18.3	30.5
Southern	14.5	20.0	34.5	11.6	21.0	31.7
Northwestern	14.5	18.3	32.8	13.8	19.0	32.8
Central Western	14.0	18.1	32.1	13.1	19.5	32.6
Southwestern	15.9	18.0	33.8	14.0	18.3	32.3

³ *Statistics of Railways in the United States*, Interstate Commerce Commission, Washington.